



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2150: continuation; state land department

KOLODIN FLOOR AMENDMENT

1. Removes the specification that an adjusted royalty rate, adopted by the State Land Commissioner for renewed mineral and mineral material leases, be adopted by rule.
2. Specifies that the Conceptual Land Use Plan's authority applies to State Lands that have not been annexed as of the effective date of this act.

ADDITIONAL COW
KOLODIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2150
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 27, chapter 2, article 3, Arizona Revised
3 Statutes, is amended by adding section 27-240, to read:

4 27-240. Lease of state trust lands; minerals; renewals;
5 indexed royalties

6 A. NOTWITHSTANDING ANY OTHER LAW, THE STATE LAND COMMISSIONER MAY
7 RENEW AN EXISTING MINERAL OR MINERAL MATERIALS LEASE WITHOUT PUBLIC
8 AUCTION IF THE STATE LAND COMMISSIONER DETERMINES ALL OF THE FOLLOWING:

9 1. THE LESSEE IS IN SUBSTANTIAL COMPLIANCE WITH THE TERMS OF THE
10 LEASE.

11 2. RENEWAL IS IN THE BEST INTEREST OF THE STATE LAND TRUST.

12 3. RENEWAL IS SUPPORTED BY A WRITTEN FINDING BY THE STATE LAND
13 COMMISSIONER THAT THE RENEWAL IS CONSISTENT WITH THE STATE LAND
14 COMMISSIONER'S FIDUCIARY DUTIES.

15 4. THE RENEWAL IS FOR A TERM THAT IS ALLOWED BY THE LAWS OF THIS
16 STATE.

17 B. A LEASE THAT THE STATE LAND COMMISSIONER RENEWS PURSUANT TO THIS
18 SECTION SHALL PROVIDE FOR A ROYALTY RATE THAT IS ADJUSTED PURSUANT TO A
19 MARKET-BASED INDEXING MECHANISM THAT THE STATE LAND COMMISSIONER ADOPTS

20 [IN RULE]. THE INDEXING MECHANISM MAY INCLUDE ANY OF THE FOLLOWING:

21 1. PRODUCER PRICE INDICES.

22 2. REGIONAL OR STATEWIDE CONSTRUCTION AGGREGATE PRICE INDICES.

23 3. OTHER OBJECTIVE INDICATORS THAT ARE RECOGNIZED BY THE INDUSTRY.

24 Sec. 2. Section 37-102, Arizona Revised Statutes, is amended to
25 read:

26 37-102. State land department; powers and duties

1 A. The state land department shall administer all laws relating to
2 lands owned by, belonging to and under the control of this state.

3 B. The department shall have charge and control of all lands owned
4 by this state, and timber, stone, gravel and other products of such lands,
5 except lands under the specific use and control of state institutions and
6 the products of such lands.

7 C. The department, in the name of this state, may commence,
8 prosecute and defend all actions and proceedings to protect the interest
9 of this state in lands within this state or the proceeds of lands within
10 this state. Actions shall be commenced and prosecuted at the request of
11 the department by the attorney general, a county attorney or a special
12 counsel under the direction of the attorney general.

13 D. The department shall be the official representative of this
14 state in any communication between this state and the United States
15 government in all matters respecting state lands or any interest of this
16 state in or to the public lands within this state.

17 E. The summons in any action against this state respecting any
18 lands of this state or the products of such lands and all notices
19 concerning such lands or products shall be served on the commissioner.
20 Summonses, warrants or legal notices served on behalf of the department
21 may be served by the commissioner or the commissioner's deputy, or by the
22 sheriff or a constable of any county of this state.

23 F. The department shall maintain as a public record in each of the
24 department's offices a public docket and index of all matters before the
25 department that may be subject to appeal to the board of appeals or to the
26 courts and all sale, exchange and lease transactions subject to bidding by
27 the public. The department shall list a matter on the public docket
28 immediately after an application or other request for department action is
29 received by the department. The department shall include in the public
30 docket every formal action and decision affecting each matter in
31 question. The department shall establish by rule a means by which any
32 person may obtain a copy of the public docket at the current copying cost.

33 G. The department shall reappraise or update the department's
34 original appraisal of property to be leased, exchanged or sold if the
35 board of appeals' approval of the lease or sale occurred more than two
36 hundred forty days before the auction.

37 H. To the extent possible, the state land department shall:

38 1. Prepare maps of the ancillary military facilities described in
39 section 28-8461, paragraph 7, subdivisions (b) and (c).

40 2. Make a map of the ancillary military facility described in
41 section 28-8461, paragraph 7, subdivision (a) available to the public in
42 printed or electronic format and provide the map in printed or electronic
43 format to the state real estate department.

44 3. On receipt of proper information from the military installation
45 commander with responsibility for the military electronics range, prepare
46 a map of the military electronics range as defined in section 9-500.28 and
47 make that map available to the public in printed or electronic format and

1 provide the map in printed or electronic format to the state real estate
2 department. Within ninety days after receipt of notice of any change in
3 the boundaries of the military electronics range from the military
4 installation commander, the state land department shall revise its map and
5 provide the map to the public and to the state real estate department.

6 4. On or before December 31, 2024 and on receipt of proper
7 information from the applicable military installation's and range's and
8 Arizona national guard site's commanders, prepare electronic legal
9 descriptions and maps of the military installation and range and Arizona
10 national guard site and their respective influence areas as defined in
11 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
12 maps to the state real estate department and the public. The state land
13 department shall make changes to the boundaries of the military
14 installation and range and ARIZONA national guard site and their
15 respective influence areas and provide them to the state real estate
16 department and the public within ninety days after receipt of those
17 changes from the military installation's and range's and Arizona national
18 guard site's commanders.

19 5. RESTRICT THE USE OF A LEASE OR PERMIT HOLDOVER PROVISION TO NOT
20 MORE THAN NINETY DAYS. IF A LEASE IS IN HOLDOVER STATUS AND THE HOLDOVER
21 TENANT SUBMITS A LEASE RENEWAL APPLICATION PURSUANT TO SECTION 37-291 THAT
22 THE DEPARTMENT DOES NOT TAKE ACTION ON WITHIN THE NINETY DAYS AFTER THE
23 LEASE EXPIRES, THE LEASE IS AUTOMATICALLY RENEWED FOR THREE YEARS AND
24 NINETY DAYS AFTER THE DATE OF NATURAL EXPIRATION. A LEASE THAT IS RENEWED
25 PURSUANT TO THIS PARAGRAPH IS DEEMED IN THE BEST INTEREST OF THE STATE
26 TRUST PURSUANT TO SECTION 37-291. IF THE DEPARTMENT TERMINATES A HOLDOVER
27 TENANT'S LEASE, THE DEPARTMENT SHALL PROVIDE IMMEDIATE REIMBURSEMENT FOR
28 THE FAIR MARKET VALUE, AS DETERMINED BY AN INDEPENDENT THIRD-PARTY VENDOR,
29 OF ANY REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE HOLDOVER TENANT MADE
30 TO THE STATE LAND.

31 6. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:

32 (a) APPROVE ANY IMPROVEMENTS THAT ARE CUSTOMARY IN THE LESSEE'S OR
33 PERMITTEE'S COURSE OF BUSINESS. IF A TENANT SUBMITS AN APPLICATION FOR
34 PERMISSION TO CONSTRUCT OR MAKE AN IMPROVEMENT TO STATE LANDS PURSUANT TO
35 SECTION 37-321 AND THE DEPARTMENT DOES NOT TAKE ACTION ON THE APPLICATION
36 WITHIN NINETY DAYS AFTER RECEIPT, THE APPLICATION IS AUTOMATICALLY
37 APPROVED. AN IMPROVEMENT THAT IS AUTOMATICALLY APPROVED PURSUANT TO THIS
38 SUBDIVISION IS DEEMED IN THE BEST INTEREST OF THE STATE PURSUANT TO
39 SECTION 37-321. ON CONCLUSION OF A LEASE RENEWAL OR SPECIAL LAND USE
40 PERMIT, THE DEPARTMENT SHALL REIMBURSE THE LESSEE OR PERMITTEE FOR THE
41 LESSEE'S OR PERMITTEE'S IMPROVEMENTS ON STATE LANDS WITH MONIES FROM THE
42 STATE LAND TRUST.

43 (b) NOT LESS THAN SIX MONTHS BEFORE THE EXPIRATION OF A LEASE
44 RENEWAL OR SPECIAL LAND USE PERMIT, PROVIDE NOTICE OF EXPIRATION. THE
45 NOTICE MUST INCLUDE ALL OF THE FOLLOWING:

46 (i) ANY PROPOSED RENTAL INCREASE OR PROPOSED CHANGE TO THE TERMS
47 AND CONDITIONS OF THE LEASE RENEWAL OR SPECIAL LAND USE PERMIT.

1 (ii) THE INTENT OF THE DEPARTMENT TO RENEW OR TERMINATE THE LEASE
2 OR SPECIAL LAND USE PERMIT.

3 (iii) THE JUSTIFICATION FOR THE COMMISSIONER'S DECISION, AS
4 PRESCRIBED IN SECTION 37-133, TO RENEW OR TERMINATE THE LEASE OR PERMIT.
5 IF THE DEPARTMENT DECIDES TO NOT RENEW A LEASE OR ISSUE A SPECIAL LAND USE
6 PERMIT, THE DEPARTMENT SHALL INCLUDE A STATEMENT THAT IDENTIFIES THE
7 DEPARTMENT'S DETERMINATION OF THE HIGHEST AND THE BEST USE OF THE STATE
8 LANDS, SUBJECT TO THE LEASE OR SPECIAL LAND USE PERMIT. IF THE STATE
9 LANDS WILL NOT IMMEDIATELY GENERATE REVENUE ON THE EXPIRATION OF THE LEASE
10 OR SPECIAL LAND USE PERMIT, THE NOTICE SHALL INCLUDE A STATEMENT
11 IDENTIFYING HOW LONG THE DEPARTMENT ESTIMATES THAT THE STATE LANDS WILL
12 GENERATE MONIES FOR THE STATE LAND TRUST AND WHY THE DEPARTMENT BELIEVES
13 FOREGOING THE MONIES FOR THE ESTIMATED TIME FRAME IS IN THE BEST INTEREST
14 OF THE STATE LAND TRUST.

15 7. RESTRICT THE USE OF SPECIAL LAND USE PERMITS ONLY TO TEMPORARY
16 LAND USES THAT DO NOT HAVE A DEDICATED LAND USE LEASE OR PERMIT.

17 I. The state land department shall provide each map and the legal
18 description of the boundaries of each ancillary military facility
19 described in section 28-8461, paragraph 7 in electronic format to the
20 state real estate department. Each map prepared by the state land
21 department pursuant to this section shall:

22 1. Describe the ancillary military facility, the territory in the
23 vicinity of the ancillary military facility and the high noise and
24 accident potential zone, accident potential zone one and accident
25 potential zone two associated with the ancillary military facility.

26 2. Be submitted to the county in which the ancillary military
27 facility is located.

28 3. Be made available to the public.

29 J. The state land department shall prepare a military training
30 route map. The map shall contain military training route numbers in this
31 state that are used by various United States armed forces. The map shall
32 be dated.

33 K. When preparing the military training route map, the state land
34 department shall use information contained in the most current department
35 of defense publication that is entitled "area planning military training
36 routes for North and South America".

37 L. The military training route map shall be made available to the
38 public.

39 M. Within ninety days after the department is notified of a change
40 of a military training route in this state, the department shall prepare a
41 revised military training route map. The map shall be dated and contain a
42 statement that the map supersedes all previously dated maps. The state
43 land department shall send the revised map to the state real estate
44 department electronically and shall also send an accompanying letter
45 specifying the military training route changes. The state land department
46 shall send the revised map and an accompanying letter specifying the

1 military training route changes to the municipalities affected by the
2 changes and to all counties.

3 N. The department shall submit the military training route map
4 prepared pursuant to this section to the counties in either an electronic
5 or a printed format. The format shall be determined by the receiving
6 county.

7 O. The state land department shall provide the legal description of
8 the boundaries of the military training routes as delineated in the
9 military training route map to the state real estate department in
10 electronic format.

11 P. The state land department shall prepare a military restricted
12 airspace map. The map shall contain military restricted airspace in this
13 state that is used by various United States armed forces. The map shall
14 be dated.

15 Q. When preparing the military restricted airspace map, the state
16 land department shall use information contained in the most current
17 department of transportation publication that is entitled "aeronautical
18 chart".

19 R. The military restricted airspace map shall be made available in
20 printed or electronic format to the public at the state land department
21 and at the state real estate department.

22 S. Within ninety days after the department is notified of a change
23 of military restricted airspace in this state, the department shall
24 prepare a revised military restricted airspace map. The map shall be
25 dated and contain a statement that the map supersedes all previously dated
26 maps. The state land department shall send the revised map to the state
27 real estate department electronically and shall also send an accompanying
28 letter specifying the military restricted airspace changes. The state
29 land department shall send the revised map and an accompanying letter
30 specifying the military restricted airspace changes to the municipalities
31 affected by the changes and to all counties.

32 T. The department shall submit the military restricted airspace map
33 prepared pursuant to this section to the counties in either an electronic
34 or a printed format. The format shall be determined by the receiving
35 county.

36 U. The state land department shall provide the legal description of
37 the boundaries of the military restricted airspace as delineated in the
38 military restricted airspace map to the state real estate department in
39 electronic format.

40 V. The department may accept title to and manage real estate,
41 property rights and related infrastructure acquired pursuant to section
42 26-262, subsection K for preserving or enhancing military installations in
43 this state.

44 Sec. 3. Section 37-132, Arizona Revised Statutes, is amended to
45 read:

46 37-132. Powers and duties

47 A. The commissioner shall:

1 1. Exercise and perform all powers and duties vested in or imposed
2 on the department and prescribe such rules as are necessary to discharge
3 those duties.

4 2. Exercise the powers of surveyor-general except for the powers of
5 the surveyor-general exercised by the state treasurer as a member of the
6 selection board pursuant to section 37-202.

7 3. Make long-range plans for the future use of state lands in
8 cooperation with other state agencies, local planning authorities and
9 political subdivisions.

10 4. Promote the infill and orderly development of state lands in
11 areas beneficial to the trust and prevent urban sprawl or leapfrog
12 development on state lands.

13 5. Classify and appraise all state lands, together with the
14 improvements on state lands, for the purpose of sale, lease or grant of
15 rights-of-way. The commissioner may impose such conditions and covenants
16 and make such reservations in the sale of state lands as the commissioner
17 deems to be in the best interest of the state trust. The provisions of
18 this paragraph are subject to hearing procedures pursuant to title 41,
19 chapter 6, article 10 and, except as provided in section 41-1092.08,
20 subsection H, are subject to judicial review pursuant to title 12, chapter
21 7, article 6.

22 6. Have authority to lease for grazing, agricultural, homesite or
23 other purposes, except commercial, all land owned or held in trust by this
24 state.

25 7. Have authority to lease for commercial purposes and sell all
26 land owned or held in trust by this state, but any such lease for a term
27 longer than ten years for commercial purposes or any such sale shall first
28 be approved by the board of appeals.

29 8. Except as otherwise provided, determine all disputes, grievances
30 or other questions pertaining to the administration of state lands.

31 9. Appoint deputies and other assistants and employees necessary to
32 perform the duties of the department and assign their duties subject to
33 title 41, chapter 4, article 4 and require of them such surety bonds as
34 the commissioner deems proper. The compensation of the deputy, assistants
35 or employees shall be as determined pursuant to section 38-611.

36 10. Make a written report to the governor annually, not later than
37 September 1, disclosing in detail the activities of the department for the
38 preceding fiscal year and publish it for distribution. The report shall
39 include an evaluation of auctions of state land leases held during the
40 preceding fiscal year considering the advantages and disadvantages to the
41 state trust of the existence and exercise of preferred rights to lease
42 reclassified state land.

43 11. Withdraw state land from surface or subsurface sales or lease
44 applications if the commissioner deems it to be in the best interest of
45 the trust. This closure of state lands to new applications for sale or
46 lease does not affect the rights that existing lessees have under law for
47 renewal of their leases and reimbursement for improvements.

1 12. PROVIDE A QUARTERLY UPDATE OF THE ACTIVITIES OF THE DEPARTMENT
2 AND THE ACTIONS THAT THE DEPARTMENT IS TAKING TO IMPROVE THE INTERNAL AND
3 ADMINISTRATIVE WORKINGS OF THE DEPARTMENT TO THE CHAIRPERSON OF THE HOUSE
4 OF REPRESENTATIVES NATURAL RESOURCES, ENERGY AND WATER COMMITTEE OF
5 REFERENCE, OR ITS SUCCESSOR COMMITTEE OF REFERENCE, AND THE SENATE NATURAL
6 RESOURCES COMMITTEE OF REFERENCE, OR ITS SUCCESSOR COMMITTEE OF REFERENCE.

7 B. The commissioner may:

8 1. Take evidence relating to, and may require of the various county
9 officers information on, any matter that the commissioner has the power to
10 investigate or determine.

11 2. Under such rules as the commissioner adopts, use private real
12 estate brokers to assist in any sale or long-term lease of state land and
13 pay, from fees collected under section 37-107, subsection B, paragraph 1,
14 a commission to a broker that is licensed pursuant to title 32, chapter 20
15 and that provides the purchaser or lessee at auction. The purchaser or
16 lessee at auction is not eligible to receive a commission pursuant to this
17 paragraph. A commission shall not be paid on a sale or a long-term lease
18 if the purchaser or lessee is a political subdivision of this state.

19 3. Require a permittee, lessee or grantee to post a surety bond or
20 any form of collateral deemed sufficient by the commissioner for
21 performance or restoration purposes. The commissioner shall use the
22 proceeds of a bond or collateral only for the purposes determined at the
23 time the bond or collateral is posted. For agricultural lessees, the
24 commissioner may require collateral as follows:

25 (a) As security for payment of the annual assessments levied by the
26 irrigation district in which the state land is located if the lessee has a
27 history of late payments or defaults. The amount of the collateral
28 required may not exceed the annual assessment levied by the irrigation
29 district.

30 (b) As security for payment of rent, if an extension of time for
31 payment is requested or if the lessee has a history of late payments of
32 rent. The collateral shall be submitted at the time any extension of time
33 for payment is requested. The amount of the collateral required may not
34 exceed the annual amount of rent for the land.

35 (c) A surety bond shall be required only if the commissioner
36 determines that other forms of collateral are insufficient.

37 4. Withhold market and economic analyses, preliminary engineering,
38 site and area studies and appraisals that are collected during the urban
39 planning process from public viewing before they are submitted to local
40 planning and zoning authorities.

41 5. Withhold from public inspection proprietary information received
42 during lease negotiations. The proprietary information shall be released
43 to public inspection unless the release may harm the competitive position
44 of the applicant and the information could not have been obtained by other
45 legitimate means.

46 6. Issue permits for short-term use of state land for specific
47 purposes as prescribed by rule.

1 7. Contract with a third party to sell recreational permits. A
2 third party under contract pursuant to this paragraph may assess a
3 surcharge for its services as provided in the contract, in addition to the
4 fees prescribed pursuant to section 37-107.

5 8. Close urban lands to specific uses as prescribed by rule if
6 necessary for dust abatement, to reduce a risk from hazardous
7 environmental conditions that pose a risk to human health or safety or for
8 remediation purposes.

9 9. Notwithstanding subsection A, paragraph 4 of this section,
10 authorize, in the best interest of the trust, the extension of public
11 services and facilities either:

12 (a) That are necessary to implement plans of the local governing
13 body, including plans adopted or amended pursuant to section 9-461.06 or
14 11-805.

15 (b) Across state lands that are either:

16 (i) Classified as suitable for conservation purposes pursuant to
17 section 37-312.

18 (ii) Sold or leased at auction for conservation purposes.

19 10. Contract with a qualified third-party reviewer that is selected
20 by the commissioner to review any application submitted to the department
21 if the commissioner determines that the department will not be able to
22 take action on the application within sixty working days after the
23 application is submitted to the department. A third-party reviewer that
24 reviews an application pursuant to this paragraph shall do both of the
25 following:

26 (a) Review the application and take all other related actions in
27 accordance with all requirements that are adopted by the department.

28 (b) Notify the department and the applicant of the findings of the
29 review.

30 C. The commissioner or any deputy or employee of the department may
31 not have, own or acquire, directly or indirectly, any state lands or the
32 products on any state lands, any interest in or to such lands or products,
33 or improvements on leased state lands, or be interested in any state
34 irrigation project affecting state lands.

35 Sec. 4. Section 37-233, Arizona Revised Statutes, is amended to
36 read:

37 37-233. Sale of state lands; restriction on sale of timber
38 land; expense of sale; rules

39 A. On receiving an application, or on the commissioner's
40 initiative, the ~~state land~~ department, under the rules of the department,
41 may cause state lands to be sold if the sale of them is not prohibited by
42 law.

43 B. Land containing timber of a value which in the opinion of the
44 commissioner should be sold separately from the land shall not be subject
45 to sale until after the timber is sold.

46 C. When an application is filed with the department for selection
47 or sale of land under the laws of this state, and the department

1 determines that the benefit to be derived from the selection or sale is
2 less than the expense involved, the commissioner may accept from the
3 applicant an amount of money sufficient to pay the expense incidental to
4 the selection or sale. If the applicant fails to secure a lease after
5 selection of land, or fails to purchase land after bidding for it, the
6 successful lessee or purchaser shall reimburse the original applicant for
7 all funds so advanced.

8 D. RULES ADOPTED PURSUANT TO SUBSECTION A OF THIS SECTION SHALL
9 ESTABLISH A PROCEDURE AND CRITERIA THAT THE COMMISSIONER MUST USE FOR
10 DETERMINING WHETHER TO INITIATE THE SALE OF STATE LANDS BY THE
11 COMMISSIONER'S OWN INITIATIVE.

12 Sec. 5. Section 37-331.03, Arizona Revised Statutes, is amended to
13 read:

14 37-331.03. Conceptual land use plans; five year disposition
15 plans; definitions

16 A. The commissioner shall create AND APPROVE conceptual land use
17 plans for all urban state trust land in this state and other state trust
18 lands the commissioner considers to be appropriate. The commissioner
19 shall:

20 1. Prioritize the creation of conceptual LAND USE plans to the
21 extent possible to:

22 (a) Correlate with the rate of population growth in the urban areas
23 in this state.

24 (b) Coincide with the production of municipal general plans under
25 title 9, chapter 4, article 6 and county plans under title 11, chapter 6,
26 article 1.

27 2. Revise and update each CONCEPTUAL LAND USE plan at least every
28 ten years. THE COMMISSIONER SHALL ISSUE A WRITTEN ORDER APPROVING EACH
29 CONCEPTUAL LAND USE PLAN AND CONCEPTUAL LAND USE PLAN REVISION.

30 3. Consult with the city, town or county in which the land is
31 located and with any regional planning organization regarding integrating
32 the conceptual LAND USE plan into the general land use plan of the city,
33 town or county.

34 4. ~~Submit~~ POST each CONCEPTUAL LAND USE plan, and revision of ~~the~~
35 ~~A CONCEPTUAL LAND USE plan, to the urban land planning oversight committee~~
36 ~~for review~~ AND THE COMMISSIONER'S WRITTEN APPROVAL OF EACH CONCEPTUAL LAND
37 USE PLAN AND CONCEPTUAL LAND USE PLAN REVISION ON THE DEPARTMENT'S
38 WEBSITE.

39 B. On approval of the conceptual land use plan by the commissioner
40 under this section, the conceptual LAND USE plan is ~~considered to be~~ a
41 state general plan for THE purposes of this article.

42 C. The commissioner may create the conceptual land use plans under
43 subsection A of this section by any of the following methods:

44 1. Using department staff or private consultants.

45 2. Entering into participation contracts pursuant to section
46 37-239.

1 3. Issuing planning permits for urban lands pursuant to section
2 37-338.

3 4. Entering into planning contracts for urban lands or other state
4 trust lands the commissioner considers to be appropriate, including
5 compensation as provided by section 37-338, subsection D.

6 D. ON THE COMMISSIONER'S APPROVAL OF A CONCEPTUAL LAND USE PLAN,
7 THE CONCEPTUAL LAND USE PLAN[, AS APPLIED TO STATE LANDS THAT HAVE NOT
8 BEEN ANNEXED AS OF THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS SECTION]:

9 1. IS THE CONTROLLING LAND USE DESIGNATION FOR STATE LANDS.

10 2. SUPERSEDES ANY CONFLICTING COUNTY OR MUNICIPAL ZONING.

11 ~~D.~~ E. The commissioner shall create A five year disposition ~~plans~~
12 PLAN for all state trust land in EACH COUNTY IN this state, based at a
13 minimum on market demand, anticipated transportation and infrastructure
14 availability. The commissioner shall DO ALL OF THE FOLLOWING:

15 1. Review and update each FIVE YEAR DISPOSITION plan FOR EACH
16 COUNTY each year as ~~may be~~ necessary.

17 2. Consult with the city, town or county in which the land is
18 located and with any regional planning organization.

19 3. ~~Submit~~ POST each FIVE YEAR DISPOSITION plan ~~and~~, EACH FIVE YEAR
20 DISPOSITION PLAN revision ~~to the urban land planning oversight committee~~
21 AND EACH WRITTEN ORDER THAT ADOPTS OR APPROVES A FIVE YEAR DISPOSITION
22 PLAN OR FIVE YEAR DISPOSITION PLAN REVISION AVAILABLE ON THE DEPARTMENT'S
23 WEBSITE to ensure conformity with the conceptual LAND USE plan under
24 subsection A OF THIS SECTION.

25 4. ENSURE THAT EACH FIVE YEAR DISPOSITION PLAN AND FIVE YEAR
26 DISPOSITION PLAN REVISION CONFORMS WITH THE CONCEPTUAL LAND USE PLAN.

27 5. ISSUE A WRITTEN ORDER THAT APPROVES AND ADOPTS EACH FIVE YEAR
28 DISPOSITION PLAN AND FIVE YEAR DISPOSITION PLAN REVISION.

29 ~~E.~~ F. For the purposes of this section:

30 1. "Conceptual land use plan" means a plan that is developed for
31 urban state trust land and other state trust lands the commissioner
32 considers to be appropriate and that identifies:

33 (a) Appropriate land uses, including commercial, industrial,
34 residential and open space uses.

35 (b) Transportation corridors and infrastructure requirements.

36 (c) All natural and artificial constraints and opportunities
37 associated with the land.

38 2. "Five year disposition plan" means a plan that identifies the
39 land projected to be sold, leased, reclassified for conservation purposes,
40 master planned or zoned during the next five years.

41 Sec. 6. Repeal

42 Section 41-3026.05, Arizona Revised Statutes, is repealed.

1 Sec. 7. Title 41, chapter 27, article 2, Arizona Revised Statutes,
2 is amended by adding section 41-3030.19, to read:

3 41-3030.19. State land department; termination July 1, 2030

4 A. THE STATE LAND DEPARTMENT TERMINATES ON JULY 1, 2030.

5 B. TITLE 37, CHAPTERS 1 AND 2 AND THIS SECTION ARE REPEALED ON
6 JANUARY 1, 2031.

7 Sec. 8. State land department; auditor general report;
8 recommendations; implementation; checklist;
9 notification; delayed repeal

10 A. Within two years after the effective date of this section, the
11 state land commissioner shall implement all fifty-one recommendations in
12 the auditor general's July 2025 performance audit and sunset review of the
13 state land department.

14 B. Until the state land commissioner implements all of the auditor
15 general's recommendations, the state land commissioner shall meet with the
16 auditor general quarterly and report on the progress of the state land
17 department's implementation of the recommendations.

18 C. The auditor general shall maintain a checklist of the
19 recommendations and shall update the checklist after each meeting
20 consistent with the completion of any of the recommendations to the
21 satisfaction of the auditor general.

22 D. The auditor general may enter any premises, conduct any
23 investigation or inspect any documents in possession of the state land
24 department to ensure the state land department implements the
25 recommendations to the auditor general's satisfaction.

26 E. Each fiscal quarter, the auditor general shall provide an update
27 of the current status of the recommendation checklist to the following:

28 1. Each member of the joint legislative audit committee.

29 2. The governor.

30 3. The chairperson of the committee of reference that the president
31 of the senate tasks with oversight of the state land department.

32 4. The chairperson of the committee of reference that the speaker
33 of the house of representatives tasks with oversight of the state land
34 department.

35 F. If the state land department fails to implement the auditor
36 general's recommendations within two years after the effective date of
37 this section, the auditor general shall:

38 1. Notify the following:

39 (a) Each member of the joint legislative audit committee.

40 (b) The governor.

41 (c) The chairperson of the committee of reference that the
42 president of the senate tasks with oversight of the state land department.

43 (d) The chairperson of the committee of reference that the speaker
44 of the house of representatives tasks with oversight of the state land
45 department.

46 2. Request a special meeting of the joint legislative audit
47 committee to evaluate potential remedies and future action.

1 G. This section is repealed from and after December 31, 2028.

2 Sec. 9. Legislative findings

3 The legislature finds that this act is necessary to ensure the best
4 interest of the state land trust, state land trust beneficiaries and this
5 state.

6 Sec. 10. Public hearing; notification; committees of
7 reference; state land department's strategic plan;
8 delayed repeal

9 A. On or before April 1, 2028, the auditor general shall notify the
10 state land department and the chairpersons of the senate natural resources
11 committee of reference and the house of representatives natural resources,
12 energy and water committee of reference, or their successor committees of
13 reference, of the requirement to hold a public hearing as prescribed in
14 subsection B of this section.

15 B. On or before July 1, 2028, the senate natural resources
16 committee of reference and the house of representatives natural resources,
17 energy and water committee of reference, or their successor committees of
18 reference, shall hold a public hearing during which the state land
19 department shall provide an update regarding the state land department's
20 strategic plan.

21 C. This section is repealed from and after December 31, 2028.

22 Sec. 11. Five year disposition plans; conceptual land use
23 plan; requirements; delayed repeal

24 A. Within two years after the effective date of this section, the
25 state land commissioner shall:

26 1. Complete the five year disposition plans for state trust lands
27 and update the conceptual land use plan for state lands pursuant to
28 section 37-331.03, subsection E, Arizona Revised Statutes, as amended by
29 this act.

30 2. Adopt written policies and procedures for updating:

31 (a) The five year disposition plan every five years.

32 (b) The conceptual land use plan every ten years.

33 3. Adopt written policies and procedures on how the state land
34 department will use the five year disposition plans and the conceptual
35 land use plan for determining whether state trust lands are or will be
36 sent to public auction.

37 4. Provide a copy of the five year disposition plans and the
38 conceptual land use plan and the policies and procedures adopted pursuant
39 to this section to the president of the senate and the speaker of the
40 house of representatives.

41 B. This section is repealed from and after June 30, 2029.

1 Sec. 12. Legislative findings

2 The legislature finds that:

3 1. According to the auditor general's performance audit and sunset
4 review of the state land department completed on July 9, 2025, the state
5 land department has failed to develop the statutorily required five year
6 disposition plans since 2016.

7 2. According to the auditor general's performance audit and sunset
8 review, all five members of the urban land planning oversight committee
9 have been vacant since at least 2018.

10 3. Pursuant to section 37-331.02, Arizona Revised Statutes, and
11 section 37-331.03, Arizona Revised Statutes, as amended by this act, the
12 urban land planning oversight committee serves in an advisory role only
13 and is not required for the commissioner to fulfill the commissioner's
14 obligations to create a five year disposition plan pursuant to statute.

15 4. The fact that the governor has not appointed any members to the
16 urban land planning oversight committee has not absolved the commissioner
17 of the commissioner's obligations to create a five year disposition plan
18 as prescribed in section 37-331.03, Arizona Revised Statutes, as amended
19 by this act.

20 5. The creation of a five year disposition plan is necessary for
21 housing affordability and to ensure the highest and best use of the land
22 for the beneficiaries of the trust.

23 Sec. 13. Purpose

24 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
25 the legislature continues the state land department to have charge of and
26 control over all lands owned by this state, except lands under the
27 specific use and control of state institutions, and the resources in and
28 on those lands and to regulate the use of and access to those lands and
29 resources as prescribed by the enabling act, the Constitution of Arizona
30 and state law and to perform such other functions as prescribed by law.

31 Sec. 14. Retroactivity

32 Sections 6 and 7 of this act apply retroactively to from and after
33 July 1, 2026.

34 Enroll and engross to conform

35 Amend title to conform

ALEXANDER KOLODIN

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